Weekly Record W3: Business Model Resilience & AI Platform Integration

Student Name: Kenzhebay Ayaulym

Group: DPA-2602

Company A: Shell

Company B: KazMunayGas (KMG)

1. Academic & Theoretical Foundation

The resilience of an industrial business model depends on its structural capacity to absorb external shocks such as commodity price crashes or decarbonization mandates while maintaining operational continuity. Modern industrial enterprises enhance resilience by integrating unified enterprise data platforms that convert siloed field data into actionable real-time intelligence.

In the upstream energy sector, legacy brownfields face declining natural pressure and rising water-cut ratios. Mitigating these physical constraints requires shifting from reactive maintenance to AI-driven predictive reservoir engineering. Integrating platforms like KMG's ABAI system demonstrates how digital architecture transforms the core value proposition and cost structure of an oil and gas producer.

2. Practical Artifact: Business Model Stress-Test & ABAI Platform Architecture

Table 3.1: KMG Business Model Stress-Testing Under Macro Shocks

Business Model Canvas Element	Baseline State	Stress Scenario: Crude Oil at $40/bbl	AI-Enabled Resilience Response (ABAI Integration)
Value Proposition	Reliable domestic fuel + crude exports	Revenue drop; margin compression on exports	Optimize lifting costs per barrel via predictive artificial lift monitoring
Key Activities	Extraction, refining, pipeline transport	High OPEX in aging fields threatens cash flow	Automate reservoir water-flooding across 1,660 wells to reduce energy consumption

Cost Structure	High energy consumption & field OPEX	Unproductive electricity expenses in water injection	ABAI algorithms optimize pump cycles, cutting power usage by 8–12%
Key Resources	26.2M tonnes crude production assets	Capital constraints delay field modernization	Low-cost IoT sensor retrofits integrated into unified ABAI software architecture

Table 3.2: ABAI System Core Operational Parameters

Parameter	Value / Technical Metric	Operational Significance
Modeled Asset Scope	1,660 water-injection wells	Real-time monitoring of reservoir pressure and fluid movement
Primary Digital Module	Predictive Water-Flooding Optimization	Balances injection rates to maximize crude displacement efficiency
Data Architecture	Unified Subsoil Data Lake	Aggregates historical seismic, well log, and telemetry data
Economic Impact	OPEX reduction in artificial lift	Minimizes pump failures and extends equipment mean time between failures (MTBF)

3. Comparative Analysis: Shell vs. KazMunayGas (KMG)

4. Strategic Transferability Verdict

- **ADAPT**: KMG should adapt Shell's modular software integration standards and digital twin data modeling practices for upstream fields.
- **PILOT**: Expand the ABAI platform modules (predictive artificial lift and water-flooding) to secondary mature assets across all KMG subsidiaries.

5. AI Verification & Level 2 Declaration Log

- **Prompt Used (Gemini 2.5 Pro)**: *"Provide operational figures for KMG's ABAI platform and evaluate its application to offshore exploration."*
- **AI Hallucination Identified**: The AI claimed ABAI was fully deployed across Kashagan offshore platforms and reduced total corporate OPEX by 35%.

- **Human Verification & Correction**: Corrected against official KMG technical reports. ABAI is deployed primarily across onshore assets (including 1,660 water-injection wells at MangistauMunayGas). The ungrounded 35% OPEX reduction claim was removed and replaced with verified field-level energy savings (8-12%).

6. Actionable Operational Recommendations & Key Metrics

1. **Platform Expansion**: Complete full data ingestion for 1,660 water-injection wells into the ABAI predictive module by end of Q4 2027.
2. **Lifting Cost Optimization**: Target a 5% reduction in electricity costs per barrel extracted in brownfield operations through algorithmic pump management.
3. **Data Standardization**: Standardize telemetry protocols across EmbaMunayGas and OzenMunayGas to enable seamless ABAI integration.

7. Reflection, Peer Review & Capstone Linkage

Demonstrating digital platform impact on core business model resilience directly supports Attestation A1 (Business Report) and establishes the technical baseline for Capstone (Upstream AI Optimization & ABAI System).